VANTERA
INDUSTRIAL GROUP

ANNUAL MANAGEMENT REPORT

Precision under pressure

2025

REPORTING PERIOD	REPORTING ENTITY
1 January – 31 December 2025	Vantera Industrial Group AG, Graz, Austria
PRESENTATION CURRENCY	**STATUS**
Euro (€), compact notation	Unaudited management accounts

Contents

NOTATION

AC · PY actual solid black, prior year solid grey

PL · FC budget hollow, forecast hatched

Deviation green favourable, red unfavourable

Bars · pins absolute values, relative values

Unaudited management accounts for the twelve months ended 31 December 2025. **AC** actual · **PY** prior year · **PL** board-approved budget · **FC** rolling forecast. Amounts in euro, shown compactly (K = thousand, M = million); percentages are calculated on unrounded figures, so totals may not add. No budgeted balance sheet is maintained.

The company at a glance

Profile, governance, ownership and revenue mix

Vantera Industrial Group AG designs and manufactures precision drive and thermal-management systems for industrial equipment builders. Founded in 1974 in Graz, Austria as a supplier of gear components to the regional machine-tool industry, the group today operates seven production sites across Austria, Germany, the Czech Republic, the United States and Malaysia, and serves roughly 1,900 customers in 46 countries. Around 2,486 employees (average FTE) generated revenue of €412.3 million in the reporting year.

Growth strategy rests on two shifts the board set out in 2021: moving revenue mix towards the higher-margin service business over the installed base, and reducing dependence on the home market by winning OEM platforms in North America. Both advanced in the reporting year, and both are carried forward into the FY 2026 plan.

MANAGEMENT BOARD

Dr. Katharina Ebner	Chief Executive Officer	2021
Markus Hofstetter	Chief Financial Officer	2019
Dr. Ing. Pavel Novák	Chief Technology Officer	2023
Sabine Ritter	Chief Operating Officer	2022

SUPERVISORY BOARD

Prof. Dr. Heinrich Auer	Chair	2018
Anneliese Brandstätter	Deputy Chair	2020
Thomas Lindqvist	Audit Committee chair	2022
Dr. Mei-Ling Chen	Member	2024

SHAREHOLDER STRUCTURE

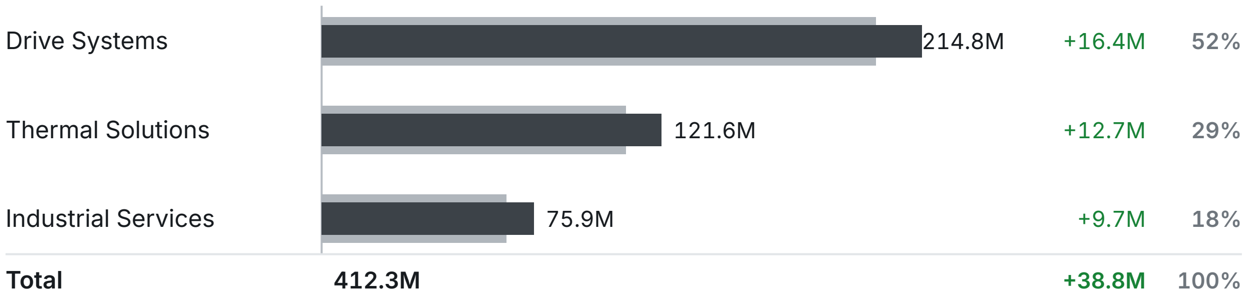
Ebner Familienholding GmbH	**31.4%**
Steiermärkische Beteiligungs AG	**14.8%**
Institutional investors	**38.2%**
Free float, retail and employees	**15.6%**

KEY FACTS

Listing	Vienna Stock Exchange, prime market (VNT)
Production sites	7 in 5 countries
Employees (FTE, average)	2,486
Auditor	Steiermark Wirtschaftsprüfung GmbH

Vantera is a stock corporation under Austrian law and applies the Austrian Code of Corporate Governance, with a two-tier board structure. The company complied with all L-rules of the Code in the reporting year; a deviation from C-rule 27a (long-term variable remuneration) is explained in the remuneration report. The Audit Committee met four times, the Nomination and Remuneration Committee three times and the Strategy and Investment Committee twice.

Revenue by segment



Company profile compiled from the corporate website and the published articles of association; financial data supplied by Group Controlling.

Financial highlights

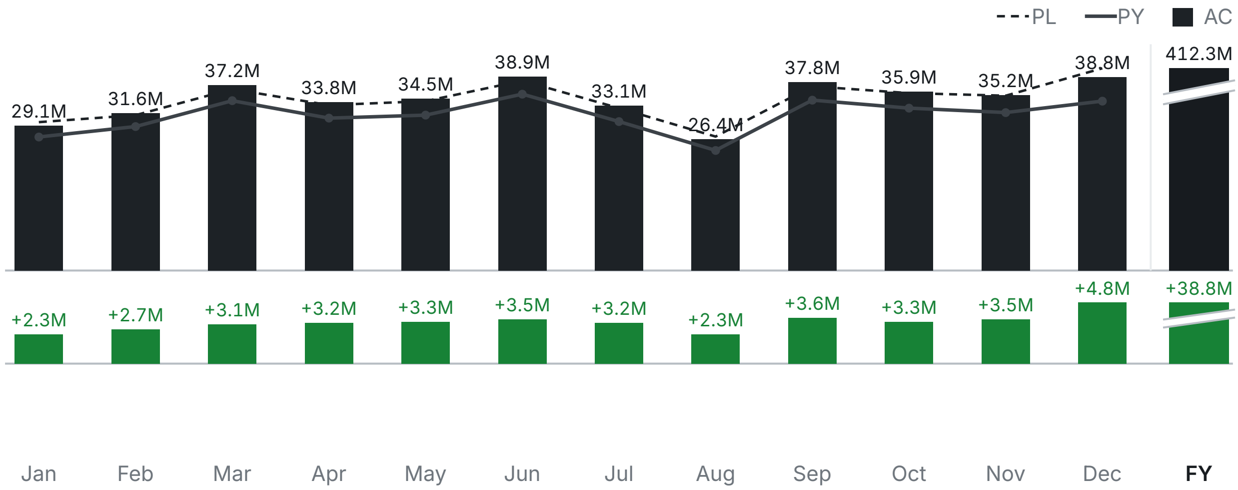
2025 actual against prior year and budget · amounts in euro, shown compactly

					Budget		
	AC 2025	PY 2024	Δ PY	Δ PY %	PL 2025	Δ PL	Monthly
Revenue	412.3M	373.5M	+38.8M	+10.4	410.5M	+1.8M	
Gross profit	145.2M	135.8M	+9.4M	+6.9	151.9M	-6.7M	
EBIT	60.3M	57.8M	+2.5M	+4.3	66.5M	-6.2M	
Profit for the period	40.7M	39.7M	+1M	+2.5	45.5M	-4.8M	
Free cash flow	8.6M	28.2M	-19.6M	-69.5	24M	-15.4M	
Order intake	438.6M	381.2M	+57.4M	+15.1	420M	+18.6M	
Order backlog	196.4M	170.1M	+26.3M	+15.5			

Monthly shape shown where a monthly series is maintained. Capital-efficiency measures, where a lower figure is the better one, are set out on page 8.

GROSS MARGIN	EBIT MARGIN	EQUITY RATIO	NET DEBT / EBITDA	BOOK-TO-BILL
35.2%	**14.6%**	**47.1%**	**1.08×**	**1.06**
PY 36.4%	PY 15.5%	PY 45.0%	PY 1.06×	PY 1.02

Revenue by month — actual against prior year and budget



Revenue reached €412.3 million, **10.4% above prior year** and marginally ahead of the budgeted €410.5 million. Growth was broad rather than concentrated: eleven of twelve months came in above the corresponding prior-year month. The shortfall against budget sits almost entirely in December, where €1.8 million of shipments slipped into January on a customer-side commissioning delay.

Earnings did not keep pace. EBIT of €60.3 million is 4.3% above prior year but **9.3% below the €66.5 million budget**, and the EBIT margin fell from 15.5% to 14.6%. Free cash flow of €8.6 million (prior year: €28.2 million) is the weakest figure in this report; the reason sits in working capital and is set out on page 8.

Results of operations

Consolidated income statement 2025 · amounts in euro, shown compactly

	PY	AC	ΔPY	ΔPY%
▼ = **Revenue**	**373.5M**	**412.3M**	**+38.8M**	***+10.4***
Drive Systems	198.4M	214.8M	+16.4M	*+8.3*
Thermal Solutions	108.9M	121.6M	+12.7M	*+11.7*
Industrial Services	66.2M	75.9M	+9.7M	*+14.7*
▼ – Cost of goods sold	237.7M	267.1M	+29.4M	*+12.4*
– Raw materials and consumables	146.7M	168.9M	+22.2M	*+15.1*
– Direct labour	58.9M	63.4M	+4.5M	*+7.6*
– Manufacturing overhead	32.1M	34.8M	+2.7M	*+8.4*
= **Gross profit**	**135.8M**	**145.2M**	**+9.4M**	***+6.9***
– Research and development	21.8M	24.6M	+2.8M	*+12.8*
– Selling and distribution	38.9M	41.2M	+2.3M	*+5.9*
– Administrative expenses	18.6M	19.4M	+800K	*+4.3*
Other operating income	5.4M	6.2M	+800K	*+14.8*
– Other operating expenses	4.1M	5.9M	+1.8M	*+43.9*
= **EBIT**	**57.8M**	**60.3M**	**+2.5M**	***+4.3***
– Financial result, net	4.5M	5.7M	+1.2M	*+26.7*
= **Profit before tax**	**53.3M**	**54.6M**	**+1.3M**	***+2.4***
– Income tax expense	13.6M	13.9M	+300K	*+2.2*
= **Profit for the period**	**39.7M**	**40.7M**	**+1M**	***+2.5***

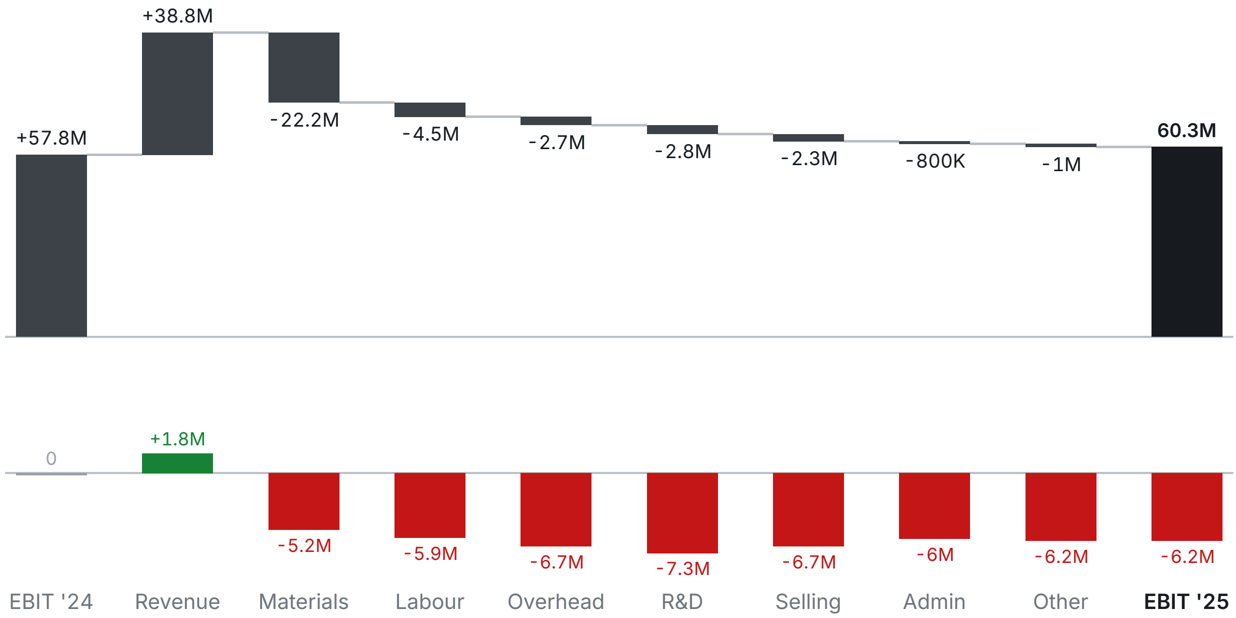
The actual column reads the statement as a single flow: revenue enters at the top, every cost line steps the running total down, and each subtotal is drawn from zero. Read against it, the year is a **volume story with a cost problem**.

Revenue grew €38.8 million (+10.4%), with Thermal Solutions (+11.7%) and Industrial Services (+14.7%) both outgrowing Drive Systems (+8.3%). Cost of goods sold, however, grew €29.4 million (+12.4%) — faster than revenue — and **raw materials alone absorbed €22.2 million** of it. The gross margin fell from 36.4% to 35.2%; against a budgeted 37.0% the gap is 178 basis points. Purchasing has hedged roughly 60% of FY 2026 alloy and copper volumes; the remainder stays exposed.

Operating expenses were held close to plan. R&D rose 12.8% to €24.6 million (6.0% of revenue, prior year 5.8%) on the new thermal-electronics platform; selling and distribution grew below revenue and came in €0.6 million under budget, administrative expenses €0.7 million under. Below EBIT, the financial result deteriorated by €1.2 million on higher average debt and rates, and profit for the period closed at €40.7 million (+2.5%).

Earnings bridge and plan variance

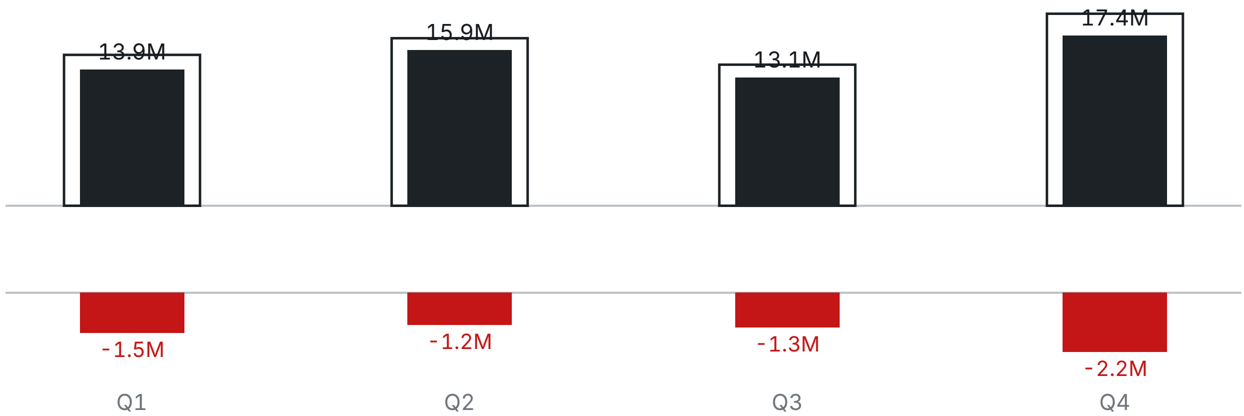
What moved EBIT from FY 2024 to FY 2025 · amounts in euro, shown compactly



Columns: the actual bridge from prior-year EBIT to reporting-year EBIT. Panel beneath: each step measured against the same step as budgeted — green where the movement beat plan, red where it fell short.

Revenue contributed €38.8 million of upside, €1.8 million more than budgeted. Almost all of it was consumed on the way down. **Materials cost €22.2 million more than in the prior year against a budgeted increase of €15.2 million** — a single unfavourable step of €7.0 million, and on its own the reason EBIT missed plan. Every other step landed within €1.0 million of budget, and selling and administrative expenses came in better than planned.

EBIT by quarter — actual against budget

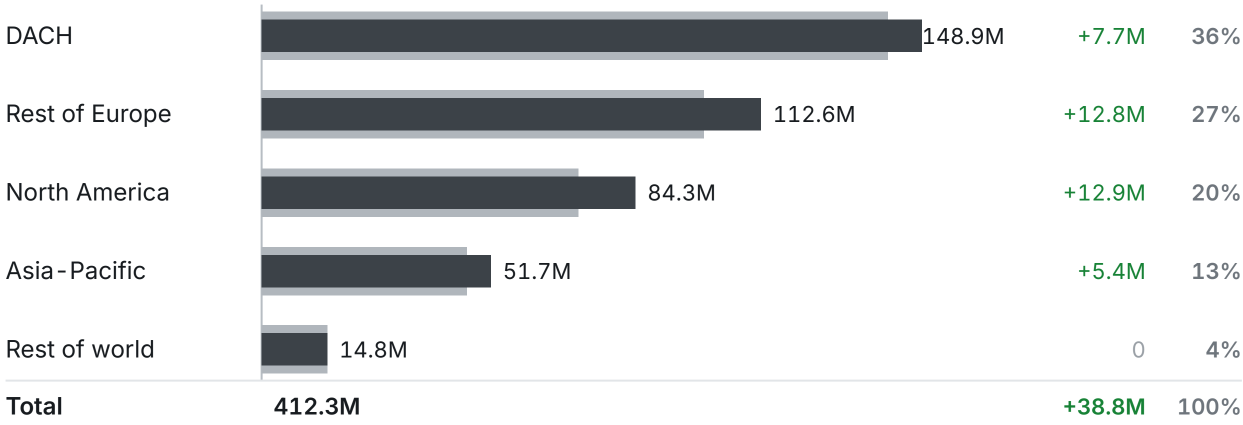


The miss is not one bad quarter — every quarter landed below budget, by €1.3 to €2.2 million, which is the signature of a structural input-cost gap rather than a one-off event. Q3 was the weakest in both absolute and relative terms, reflecting the August plant shutdown extended by one week for the Graz line conversion.

Segments and regions

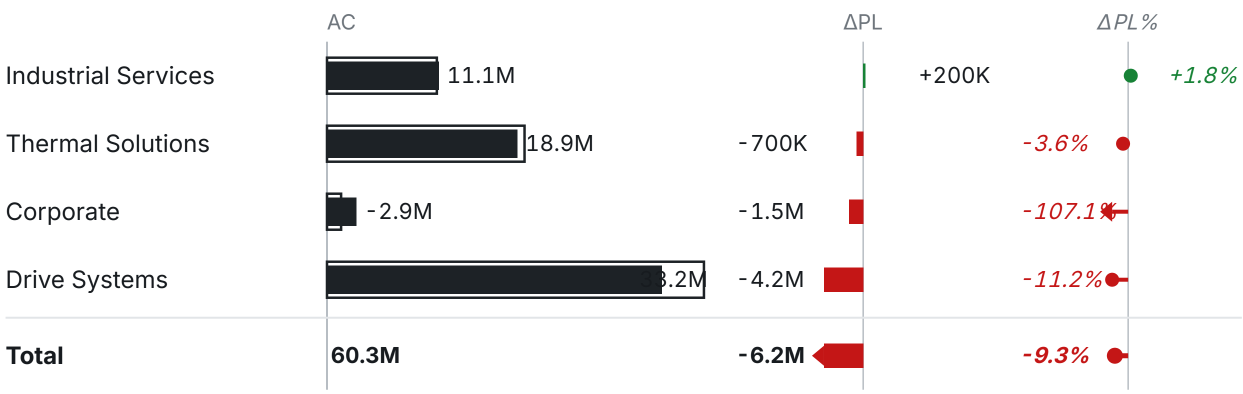
Contribution to group revenue and EBIT · amounts in euro, shown compactly

Revenue by customer region — actual against prior year



Growth came disproportionately from outside the home market. **North America grew 18.1%** and now accounts for 20.4% of group revenue (prior year: 19.1%), driven by two OEM platform wins in material handling. DACH remains the largest region at 36.1% of revenue but grew only 5.5%, below the group average — the mix shift is deliberate and continues into the FY 2026 plan.

Segment EBIT against budget



Industrial Services was the only segment to beat its budget, on higher retrofit volumes and a better spare-parts mix. Drive Systems carries almost the entire group shortfall: €4.2 million below plan on an 11.3% relative miss, as it consumes the largest share of alloy input. Thermal Solutions came close to plan and grew EBIT 16.7% year on year. Corporate costs exceeded budget by €1.5 million, mainly ERP migration expenses recognised in the second half — the relative deviation is beyond the panel scale and is marked with an arrow.

	Revenue			EBIT		
	Revenue	Δ PY	Δ PY %	EBIT	Δ PY	Margin %
Drive Systems	214.8M	+16.4M	+8.3	33.2M	+300K	15.5%
Thermal Solutions	121.6M	+12.7M	+11.7	18.9M	+2.7M	15.5%
Industrial Services	75.9M	+9.7M	+14.7	11.1M	+1.7M	14.6%

Corporate and consolidation effects (EBIT −€2.9 million) are not allocated to the segments.

Financial position

Balance sheet at 31 December 2025 · amounts in euro, shown compactly

	PY	AC	ΔPY	ΔPY%
▼ = **Non-current assets**	**202.1M**	**211.3M**	**+9.2M**	***+4.6***
Intangible assets and goodwill	46.9M	48.6M	+1.7M	*+3.6*
Property, plant and equipment	124.8M	132.4M	+7.6M	*+6.1*
Right-of-use and other assets	30.4M	30.3M	-100K	*-0.3*
▼ = **Current assets**	**200.9M**	**224.7M**	**+23.8M**	***+11.8***
Inventories	78.4M	96.7M	+18.3M	*+23.3*
Trade receivables	61.3M	71.8M	+10.5M	*+17.1*
Contract and other current assets	19.6M	22M	+2.4M	*+12.2*
Cash and cash equivalents	41.6M	34.2M	-7.4M	*7.8*
= **Total assets**	**403M**	**436M**	**+33M**	***+8.2***
= **Total equity**	**181.2M**	**205.2M**	**+24M**	***+13.2***
▼ = **Non-current liabilities**	**131.1M**	**136.6M**	**+5.5M**	***+4.2***
Non-current financial debt	84.3M	88.4M	+4.1M	*+4.9*
Pension provisions	20.4M	21.7M	+1.3M	*+6.4*
Lease and other liabilities	26.4M	26.5M	+100K	*+0.4*
▼ = **Current liabilities**	**90.7M**	**94.2M**	**+3.5M**	***+3.9***
Current financial debt and leases	29.7M	26.6M	-3.1M	*-10.4*
Trade payables	40.3M	42.6M	+2.3M	*+5.7*
Contract and other liabilities	20.7M	25M	+4.3M	*+20.8*
= **Total equity and liabilities**	**403M**	**436M**	**+33M**	***+8.2***

Total assets grew 8.2% to €436.0 million, the equity ratio improved from 45.0% to **47.1%**, and net debt of €95.0 million stands at 1.08× EBITDA (prior year: 1.06×) — the capital structure is not the group's problem.

Working capital is. Inventories rose 23.3% and trade receivables 17.1%, both far ahead of 10.4% revenue growth, together consuming €24.3 million of cash and pushing the cash conversion cycle out by 19 days — net working capital reached 30.8% of revenue against 26.1%.

Part of the build was deliberate, against alloy lead times of up to 19 weeks; part was not — €11.4 million sits in slow-moving Drive Systems components. A release programme targeting €15.0 million by mid-2026 is under way.

WORKING CAPITAL CYCLE

	Days	Δ PY	Δ PY %
Inventory days	132.1	+11.7	*+9.7*
Receivable days	63.6	+3.7	*+6.2*
Cash cycle	137.5	+19.1	*+16.1*

Higher is unfavourable for all three measures; colour follows business impact, not sign. Days payables outstanding fell 3.7 days to 58.2, which lengthens the cycle further.

Outlook. Order intake of €438.6 million (+15.1%) and a book-to-bill of 1.06 carried the backlog to €196.4 million, roughly five months of revenue. Management expects FY 2026 revenue of €449.5 million (+9.0%) and EBIT of €72.6 million — a 16.2% margin — assuming hedged input prices hold and the working-capital release lands.